

Finance Department Policy Document

Finance Department | Nova AI Knowledge Base

1. Budget Planning & Approval

Annual budgets are planned in Q4 of the preceding fiscal year.

- Department heads submit budget proposals by October 31st each year.
- Finance reviews and consolidates all departmental budgets by November 30th.
- Final budget approval by CFO and CEO: December 15th.
- Mid-year budget revisions are allowed once (July 1st deadline).
- Any unplanned expenditure above ₹50,000 requires CFO approval.
- Budget variance of more than 15% triggers a mandatory review.

2. Accounts Payable Process

All vendor invoices are processed through the standard AP workflow.

- Invoices must be submitted to finance@novaai.com with PO number.
- Standard payment terms: Net 30 days from invoice date.
- Invoices above ₹1,00,000 require dual approval (dept head + CFO).
- Vendor onboarding requires: GST certificate, PAN card, bank details, and signed NDA.
- Payment runs are processed every Tuesday and Friday.
- No payments to vendors without a signed contract on file.

3. Accounts Receivable

Revenue collection and client billing processes are managed by Finance.

- Invoices are raised within 2 business days of service delivery.
- Standard credit terms for clients: Net 30 days.
- Overdue follow-up: reminder at Day 7, escalation call at Day 15, legal notice at Day 30.
- Bad debt provision: Any invoice unpaid for 180+ days is provisioned at 100%.
- All revenue must be recognized as per Ind AS 115 (Revenue from Contracts).

4. Tax Compliance

The company is compliant with all applicable Indian tax regulations.

- GST Returns: GSTR-1 by 11th of each month, GSTR-3B by 20th of each month.
- TDS deductions must be deposited by 7th of the following month.
- Advance Tax: Paid quarterly (June 15, Sept 15, Dec 15, March 15).
- Annual Income Tax Return: Filed by October 31st (after audit).
- Transfer Pricing documentation required for international transactions above ₹1 crore.
- GST audit threshold: Annual turnover above ₹2 crore.

5. Financial Reporting

Finance publishes the following reports on a regular cadence:

- Monthly P&L: Distributed to leadership by 5th of following month.
- Quarterly Board Report: Submitted 15 days after quarter end.
- Annual Statutory Audit: Completed by June 30th each year.
- Cash Flow Statement: Weekly (every Monday morning).
- Burn Rate Report: Monthly for startup-funded entities.

All financial reports are prepared under Indian Accounting Standards (Ind AS).

6. Expense Policy

Business expense guidelines for all employees:

- Business travel (flights): Economy class for domestic, business class for international 6+ hours.
- Hotel accommodation: Up to ₹4,000/night for metro cities, ₹2,500/night for others.
- Client entertainment: Up to ₹3,000 per person per event (with prior approval).
- Office supplies: Up to ₹500/month without approval. Above requires manager sign-off.
- All expenses must be submitted in the expense portal within 30 days.
- Personal expenses are not reimbursable under any circumstances.

7. Audit & Internal Controls

Internal controls are designed to prevent fraud and ensure accuracy.

- Internal audit conducted quarterly by the Internal Audit team.
- Segregation of duties: No single person can authorize AND process a payment.
- Random surprise audits may be conducted on any department.
- Fraud reporting: confidential hotline available 24/7 (1800-XXX-XXXX).
- Whistleblower protection: Full confidentiality guaranteed for all reports.
- Statutory audit by external auditors: Annually (Big 4 firm).